SOUTH ASIA
RESEARCH
www.sagepublications.com
DOI: 10.1177/0262728018792088
Vol. 38(3S): 61S–81S

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SRI LANKA'S LABOUR MIGRATION TRENDS, REMITTANCES AND ECONOMIC GROWTH

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abstract Labour migration has significant multiple impacts for Sri Lanka, where migrant remittances have massively increased over time. In the light of changing migrant worker dynamics, including state involvement in virtually exporting people, this article examines various trends of labour migration and then specifically analyses remittance inflows and their economic impacts in Sri Lanka between 1970 and 2015. Our findings confirm the increasing importance of remittances as a source of external financing, with considerable impetus for domestic economic growth, related development policies and gender issues. The conclusions make some suggestions to safeguard future remittance inflows to Sri Lanka.

keywords: *Development, economic growth, gender, globalisation, Gulf migration, migrant workers, remittances, Sri Lanka*

Introduction

Despite considerable disquiet about its sociopolitical consequences and many attempts at its restriction, both of which this article does not cover, worldwide labour mobility has become an increasingly prominent feature of global economic structures. While the International Organization for Migration (IOM, 2018) suggests that 105 million people are working in a country other than their country of birth, nobody has precise figures, since various benchmark criteria remain fluid. However, massive flows of migrants mark this global labour mobility (Khadria, 2006) and migrant remittances have attracted considerable attention among researchers worldwide (see earlier Simon, 1989: 266–76). Specifically on South Asia, Siddique et al. (2012) discuss remittances in India, Bangladesh and Sri Lanka, Nath and Mamum (2010) cover Bangladesh, Sasikumar and Hussain (2007) consider India, while Sapkota (2013) and Seddon et al. (2002) examine Nepal. South Asia has long been an important source of migrant

workers for many countries all over the world experiencing labour shortages. In turn, migrant workers' remittances have become an increasingly important source of export income for this region over the past 30 years.

Simon (1989: 6) generally recognised the crucial importance of human capital involved in migration, while Chammartin (2004: 8) is one of many recent authors treating migration as beneficial to both sending and receiving countries. It relieves unemployment pressures in countries of origin and provides an economic lifeline for millions of women and men. Additionally, remittances have generally positive impacts on home economies and represent a significant source of external funding for at least 70 developing countries (IOM, 2018). In fact, remittance payments from migrant workers have become such a significant source of income for many countries that more or less formal labour export policies are put in place to help secure remittance inflows and to bolster the local benefits of such global forms of migration (John, 2018).

Global remittance inflows grew fivefold between 1980 and 2003 to reach $91 billion by 2003, rising to $325 billion by 2010 (Mohapatra et al., 2010). While migrant workers earned more than US$440 billion in 2011, it is also estimated that more than $350 billion of this total was transferred to developing countries through remittances (IOM, 2018). India received the largest amount of remittances in 2015, estimated at US$72.2 billion, with China ranking a close second at US$63.9 billion (United Nations, 2016: 83). Without a doubt, remittances sent by migrant workers to their respective country of origin have played an important role in promoting economic development in these countries (Siddique et al., 2012).

This article focuses specifically on migrant workers, their remittances and their contribution to Sri Lanka's economic development. We analyse relevant literature and various data sources to examine particularly the impact of migrant workers' remittances on economic growth and development. The existing still sparse literature on Sri Lanka discusses two main streams of migration flows, labour migration and political migration. According to Sriskandarajah (2002), these flows are distinguished by ethnic characteristics and differences in destination. Labour migration involves mainly Sinhalese workers moving to the Gulf region and the wider Middle East, while political migration, predominantly of Tamils, has witnessed much, often permanent movement to the Global North, mainly to Canada, Australia and Switzerland, also Malaysia and Singapore, but actually to countries all over the world. Sriskandarajah (2002) discusses only Sri Lankan maids and the Sri Lankan refugee movements, both relatively recent phenomena. Other studies (Peebles, 2006; Vijayapalan, 2014) do not cover the whole range of Sri Lanka's migration scenario, and neither capture nor address in detail its contributions to Sri Lanka's economic development. Ramasamy (2018) indicates specifically that plantation communities in Sri Lanka may be deliberately kept on the various estates, as their labour is needed locally.

The scale of outward migration in Sri Lanka, relative to population size, is significant (Sriskandarajah, 2002), as there seem to be around 2 million Sri Lankans, about 10 per cent of the total population, living and working abroad. A very large number of

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overseas Lankans (Peebles, 2006: 6) resulted from various ethnic upheavals. There are also more than 800,000 migrant workers (Peebles, 2006: 147), possibly many more, as discussed further, who send remittances to Sri Lanka. Such payments have clearly become highly important for the country's economy (Ramanayake & Wijetunga, 2018). Further below, we show in the final Table 6 that the total amount of money remitted to Sri Lanka was US$7,036.33 million by 2014. Also, while the share of remittances as percentage of total exports earnings was only 1.36 per cent in 1975, this increased to 42 per cent in 2014, the second largest category of foreign export earnings in Sri Lanka after exports of textiles and garments. According to Siddique et al. (2012), using the Granger causality test, Sri Lanka has a two-way directional causality between growth and remittance, so that economic growth influences growth in remittances and vice versa. Furthermore, the devaluation of the Sri Lankan rupee made foreign earnings more valuable relative to local earnings.

A gendered analysis is important here, too. The Middle East, where many Sri Lankan women work as housemaids and domestic assistants, became the destination for more than 94 per cent of Sri Lankan labour migrants (Siriwardhane et al., 2014). According to data from the Sri Lanka Bureau of Foreign Employment (SLBFE) for 2012, among the total private remittances, 56.1 per cent were received from the Middle East, while Ukwatta (2010) observes that some 60 per cent of the total workers' remittances to Sri Lanka come from Middle Eastern countries, but at a considerable social cost, often for women. While focusing on remittances and their economic impacts, the article first provides a historical overview of Sri Lankan worker migration, detailing the constant and fairly rapid growth of labour migration from Sri Lanka. We then discuss remittances by migrant workers and assess their impact on Sri Lankan economic growth and development. Our conclusions are supplemented with some policy suggestions about how to secure the stability and social sustainability of migrant flows.

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Sri Lankan Worker Migration, Gender Balances and Trends

The island nation of Sri Lanka has a population of around 21 million, but millions of Sri Lankans are abroad in various migrant scenarios, and nobody has precise figures, mainly because of the protracted political turmoils. Peebles (2006: 6) gives an estimated population figure of more than 20 million for 2006, noting that the civil war made it impossible to conduct a complete census since 1981. Colonised over four centuries, starting in 1505 with the Portuguese, then the Dutch, and since 1815 British domination, the island was granted independence in 1948. Since then, Sri Lanka, until 1972 known as Ceylon, has emerged as a reasonably successful developing economy, achieving substantial gains in socio-economic development, while experiencing serious political troubles over competing nationalisms (De Silva Wijeyeratne, 2014; Peebles, 2006: 123–36; Wilson, 1988) and especially the treatment of minorities (Vijayapalan, 2014). As a result, many official figures have to be read with this heavily contested background in mind.

According to World Bank (2011, 2016) data and their World Development Indicators (WDI) (Table 1), GDP per capita income in Ceylon/Sri Lanka was only US$144 in 1960, but increased to US$3,795 by 2014. Annual economic growth averaged initially around 4.5 per cent, but rose steadily from 2002 onwards and reached a high of 12 per cent by 2012. A major reason behind this high growth rate is deemed to be the end of Sri Lanka's long-lasting civil war in May 2009, but there are other reasons. Since 2009, a rapid increase in tourist arrivals, supported by recently implemented infrastructure and better facilities in Sri Lanka, has led to further growth. As explored below, rising levels of worker remittances constitute clearly a significant input.

Sri Lanka ranked 100 out of 174 countries surveyed by the United Nations Development Programme (UNDP) in terms of income and its ranking in the broader Human Development Index (HDI) was 0.75 (average of male and female) in 2014 (Human Development Report, 2015). Sri Lanka's current HDI value is considerably higher than the average for developing countries (0.642) and for South Asia (0.560). This relatively high HDI, apart from rising income levels, reflects particularly the country's success in improving education and health. Adult literacy currently stands at 91.4 per cent, about 20 percentage points above the developing world average (Human Development Report, 2015). Regarding health, life expectancy at birth stood at 75 years in 2014, around 7 years higher than the developing world average. Table 1 indicates the data of GDP per capita, HDI score and life expectancy at birth since 1961 to 2014 for Sri Lanka.

Figure 1 gives a comparative analysis of HDI and income index of selected South Asian countries and three successful East Asian tiger countries along with Sri Lanka. Singapore, Japan and Korea are found in top positions, while Sri Lanka is at the centre, with India, Nepal and Bangladesh located further below.

Labour migration has a long history in Sri Lanka, especially if one includes the immigration/emigration patterns of Sri Lanka's Tamil people (Vijayapalan, 2014). The foundations of mobility and of later large-scale Sri Lankan migration flows

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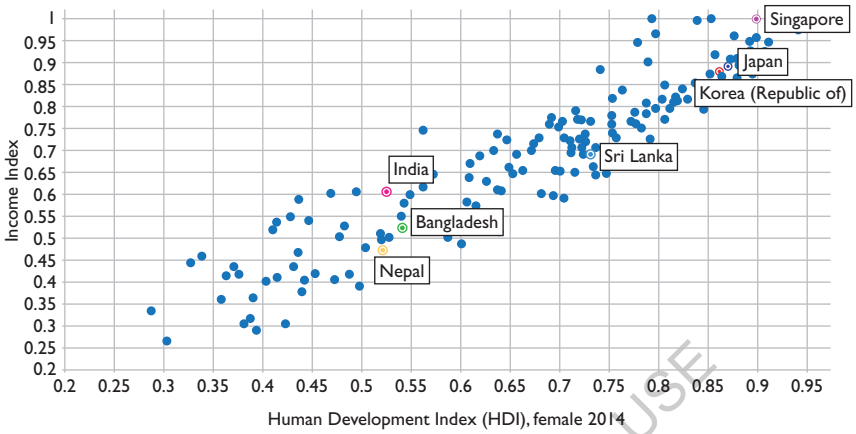
Table 1 **Trends in Human Development and Income**

	1961	*1970*	*1975*	*1980*	*1985*	*1990*	*1995*	*2000*	*2010*	*2014*
GDP per capita (current US$)	144	184	281	273	377	472	718	855	2,747	3,795
HDI score*	**n.a.	**n.a.	0.614	0.648	0.674	0.695	0.717	0.679	0.738	0.757
Life expectancy at birth	60	64	66	68	69	70	69	71	74	75

Source: Collected by the authors from World Bank (2011, 2016) data.

Notes: *HDI score until 1995 is taken from Siddique et al. (2012), from 2000 onwards from Human Development Report (2015); **n.a. = data not available.

Figure 1 **Behaviour of Human Development Index and Income Index**



Source: Human Development Report (2015).

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were thus laid well before the onset of recent armed conflicts. Particularly, Sri Lanka's educated and professional elite has a long history of temporary emigration for education, usually to Britain. They also sought employment all over the Commonwealth and more recently the Global North more widely. By the late 1970s, thousands of students were in higher education overseas, sponsored by a number of scholarship schemes or taking advantage of then still relatively lax study/work rules (Sriskandarajah, 2002).

According to Gunatilleke (1995), an older estimate of net migration from Sri Lanka's Registrar General placed the figure at 900,000 for 1977–93, while Sriskandarajah (2002) writes of between 1.5 and 2 million people of Sri Lankan origin living overseas, either as temporary or permanent migrants. Dias and Jayasundere (2004), based on provisional 2000 estimates of the Research Division of the SLBFE, report that Sri Lanka's worker migrant population alone is approximately 858,000. This number is questionable, however, due to discrepancies in statistics even within government institutions and reflects practical difficulties of maintaining accurate statistics. It is likely that the actual number of migrant workers is much higher, mainly due to workers leaving the country through private channels and personal contacts and also due to the non-identification of large numbers of people who secured employment prior to the formalisation of registration procedures (Dias & Jayasundere, 2004).

Nearly 90 per cent of these workers are employed in the Middle East (Dias & Jayasundere, 2004; Peebles, 2006: 147) and notably, among the estimated 858,000 migrant workers, 590,420 are women. Since the late 1970s, Sri Lankan migrants have been mainly concentrated in lower categories of skilled workers, unskilled workers and, increasingly, housemaids. According to Table 2, in 1980, migrant

Table 2 **Labour Migrants Departing Sri Lanka by Occupational Group (selected years)**

Occupational group	*1980*	*%*	*1992*	*%*	*1995*	*%*	*2000*	*%*	*2012*	*%*
High-level	2,517	6	1,245	1	887	1	983	1	4,445	2
Middle-level	4,116	10	6,225	5	7,070	4	10,203	6	25,444	9
Skilled	11,964	28	22,409	18	26,806	16	36,028	20	70,543	25
Unskilled	17,681	41	9,960	8	23,469	14	35,087	19	62,847	22
Housemaids	6,467	15	84,655	68	114,208	66	98,636	54	119,052	42
Total	42,745	100	124,494	100	172,467	100	181,370	100	282,331	100

Source: Until 2000, the source is Sriskandarajah (2002). The 2012 data are taken from United Nations (2016).

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housemaids were 15 per cent, but by 2000, this share had increased to 54 per cent, while a significant decline in percentage to 42 per cent, but notably not in absolute numbers, is visible by 2012.

Table 2 also shows a significant fluctuation of skilled labour. In 1980, skilled migrant labour was 28 per cent, declining to 20 per cent in 2000, but again increasing post-2000, very visibly in absolute numbers by 2012. Overall, in 2012, all four skills levels of migrant labour registered an increase in their shares, while housemaids showed a resultantly declining trend. However, especially the data for high-level, middle-level and skilled categories are likely to be underestimated, since many such workers tend to migrate on an individual basis, as opposed to registering with the SLBFE. Meanwhile, male domination is more pronounced in the skilled labour categories, but what is not clear at all is to what extent women are also included in the four listed skills-level categories. Surely not all female Sri Lankan migrant workers are housemaids!

The pattern of fairly rapid growth in labour migration from Sri Lanka also reflects domestic employment difficulties and indicates push factors. Similar to many developing countries, Sri Lanka has been facing unemployment problems. World Bank data for 1991 indicated for Sri Lanka a 15 per cent total unemployment rate as a percentage of the labour force, with 23 per cent female unemployment as a percentage of the female labour force, and 11 per cent male unemployment. Somehow, increasing migrant worker outflows and certain political and government changes caused a reduction in Sri Lankan unemployment by 2014 to 5 per cent overall, 7 per cent for women and 3 per cent for men, respectively, while in 2016, this further declined to 4.4 per cent, according to World Bank online data regarding WDI, which are available in the public domain. This could reduce push factors for worker migration in future. Earlier, Gunatilleke (1995) stated that Sri Lanka faced significant population growth in every decade since independence and, as the economy struggled to create enough jobs for new entrants, unemployment remained high. Therefore, many unemployed people were willing to find jobs abroad. According to Farrag (1997), for an unskilled worker, temporary migration to the Middle East could bring earnings eight times greater than could be expected at home, a significant pull factor, particularly given the risk of domestic unemployment or underemployment.

It is therefore unsurprising to see significant growth in labour migration from Sri Lanka between 1986 and 2013, recorded in Table 3 below, showing rapid increase in departures for foreign employment through all sources. In 1986, departed total foreign employment was only 14,456, while according to provisional figures for 2013, this had increased to 293,105, comprising 60 per cent male and 40 per cent female workers respectively.

Figure 2 below importantly indicates the gender-wise statistical description of those who migrated for employment during 1986–2013, together with the total migrated employment.

Migrants who left the country without being registered at the SLBFE were obviously not included in these statistics. According to Figure 2 and Table 3, numbers of female

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Table 3 **Departures from Sri Lanka for Foreign Employment through All Sources**

	Male		*Female*		
Year	*No.*	*%*	*No.*	*%*	*Total*
1986	11,023	76	3,433	24	14,456
1987	10,647	75	3,480	25	14,127
1988	8,309	45	10,119	55	18,428
1989	8,680	35	16,044	65	24,724
1990	15,377	36	27,248	64	42,625
1991	21,423	33	43,560	67	64,983
1992	34,858	28	89,636	72	124,494
1993	32,269	25	96,807	75	129,076
1994	16,377	27	43,791	73	60,168
1995	46,021	27	126,468	73	172,489
1996	43,112	27	119,464	73	162,576
1997	37,552	25	112,731	75	150,283
1998	53,867	34	105,949	66	159,816
1999	63,720	35	116,015	65	179,735
2000	59,793	33	122,395	67	182,188
2001	59,807	33	124,200	68	184,007
2002	70,522	35	133,251	65	203,773
2003	74,508	36	135,338	64	209,846
2004	80,699	38	134,010	62	214,709
2005	93,896	41	137,394	59	231,290
2006	90,170	45	111,778	55	201,948
2007	103,476	47	114,983	53	218,459
2008	128,232	51	122,267	49	250,499
2009	119,381	48	127,745	52	247,126
2010	136,850	51	130,657	49	267,507
2011	136,307	52	126,654	48	262,961
2012	144,135	51	138,312	49	282,447
2013*	175,047	60	118,058	40	293,105

Source: Prepared by the authors from SLBFE (2014).
Note: *Provisional.

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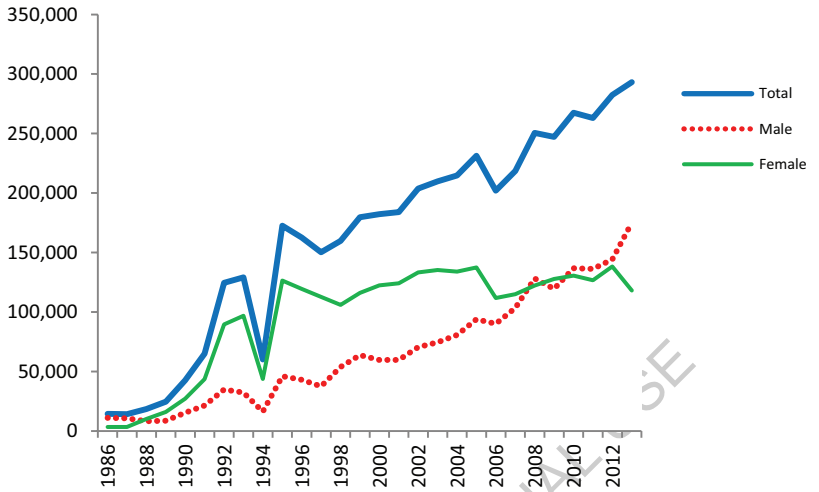
migrant workers have been higher than those for male workers since 1988 and until 2008, when male workers began to outnumber females. The data taken together indicate that female migrant numbers have remained fairly steady from 1995 to 2013.

Figure 2 **Departures for Foreign Employment by Gender**



Source: Created by the authors based on SLBFE (2014).

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The recent decline of female percentage is mainly because of the increase in male migration, but seems also due to gender-specific considerations. Various policy decisions taken by the SLBFE during the latter half of 2012, such as raising the minimum age limit of women seeking to migrate for domestic work to Saudi Arabia to 25 years, and to other Middle Eastern countries to 23 years, was probably responsible. Upgrading the training given to women migrating for domestic employment to level 3 of National Vocational Qualification is also a probable factor. This may also hide that Sri Lankan women are no longer just migrating as housemaids, but for a variety of domestic and caring professions, including perhaps private nursing, as a reflective reading of Percot (2006) suggests, too.

Making extra qualifications compulsory for women migrating to Saudi Arabia, Cyprus and Singapore for domestic work, and a mandatory family background report for potential women migrant workers, have further contributed to the relative decline of female labour migration (SLBFE, 2014). Moreover, increasing female abuses of Sri Lankan housemaids reported from Arab countries, rising divorce rates of migrant female workers, and reports of increasing child abuse in Sri Lanka when mothers are abroad, are also adduced to explain this decline (Ukwatta, 2010). The main reason for the upward swing in men's migration seems to be, however, that Sri Lankan male workers received more opportunities for foreign employment, together with higher payments. These relate particularly to Sri Lankan government foreign labour agreements and memoranda of understanding (MoU) with several countries, especially Saudi Arabia and notably South Korea. Such evidence indicates a more or less hidden policy, observed earlier by Simon (1989: 272) for the Philippines, to train certain people for export.

Figure 3 below shows the top eight countries that received Sri Lankan labour. In each year from 2009 to 2013, the highest number of migrants was sent by foreign employment agencies to Saudi Arabia, Kuwait and Qatar. More migrants have gone through foreign employment agencies and the highest number was sent to the United Arab Emirates in 2009 and 2013. From 2010 to 2012, the largest number of migrants sent through private sources (self-basis) was to Qatar (SLBFE, 2014).

Table 4 below documents the departures for foreign employment through all sources by country and gender from 2009 to 2013. This shows that in 2013, Saudi Arabia took rank one, employing a total of 80,836 Sri Lankan workers, 39,381 male and 41,455 female. Notably, South Korea is now found at rank 6 with 5,389 workers, including 5,308 males, but only 81 females. These Sri Lankan migrant workers in South Korea receive significantly higher income than other workers, since the two governments signed an agreement related to foreign migrant workers in 2004. Such MoU arrangements, which South Korea now has with many countries, including Bangladesh, Nepal and Pakistan, is a significant recent development which existing literature does not yet discuss.

The increasingly widespread dispersal of Sri Lankan migrant workers to a range of countries, notably to the Maldives, as Table 4 documents, is also a remarkable feature.

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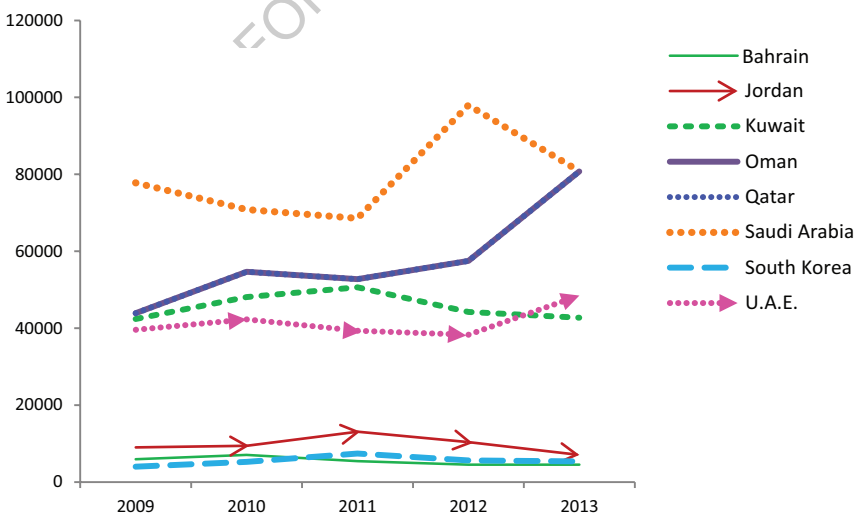
Remittances by Migrant Workers and Impacts on Economic Growth

Numerous studies have discussed the importance of remittances and economic growth. Many argue that remittances have a positive impact on economic growth (Adelman & Taylor, 1990; Faini, 2007; Ruiz & Vargas-Silva, 2010; Vargas-Silva & Huang, 2006).

Figure 3 **Top Eight Countries Receiving Sri Lankan Labour**



Source: Created by the authors using SLBFE (2014) data.

Table 4 **Departures for Foreign Employment through All Sources by Country and Gender 2009–13**

	2009		*2010*		*2011*		*2012*		*2013*		*Total in 2013*	*Rank (2013)*
Country	*Male*	*Female*	*Male*	*Female*	*Male*	*Female*	*Male*	*Female*	*Male*	*Female*		
Afghanistan	60		749		481		476		332		332	17
Bahrain	1,761	4,164	1,684	5,368	1,724	3,699	1,532	3,004	1,782	2,758	4,540	8
Bangladesh	45	4	27	5	96	1	107	11	194	12	206	20
Cyprus	449	2,482	390	2,382	339	2,697	359	2,516	218	1,389	1,607	13
Hong Kong	31	321	30	276	44	322	46	405	51	461	512	15
India	56	8	69	21	63	22	66	31	96	15	111	23
Israel	139	801	537	1,339	292	1,189	287	1,481	410	1,534	1,944	12
Japan	165	19	101	23	92	7	102	29	97	27	124	22
Jordan	865	8,165	1,701	7,724	888	12,224	1,223	9,166	1,445	5,619	7,064	5
Kurdistan			307		1	1	190		190	31	221	21
Kuwait	10,328	32,049	11,305	36,803	13,989	36,635	12,588	31,656	13,980	28,759	42,739	4
Lebanon	384	5,521	483	5,581	511	4,642	411	3,538	425	3,109	3,534	9
Libya	149	12	447	15	25	1	11	1	96	6	102	24
Malaysia	476	574	1,758	1,935	1,356	1,103	1,301	1,393	1,547	1,750	3,297	11
Maldives	3,423	479	3,680	498	3,724	470	3,564	480	3,090	374	3,464	10
Mauritius	265	380	96	233	163	198	116	157	179	203	382	16
Oman	2,226	3,103	2,829	3,538	2,626	2,753	2,537	2,349	2,940	2,376	5,316	7
Qatar	36,678	7,210	45,418	9,258	43,442	9,301	50,114	7,390	72,863	7,861	80,724	2

(Table 4 Continued)

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(Table 4 Continued)

Country	2009		2010		2011		2012		2013		Total in 2013	Rank (2013)
	Male	*Female*	*Male*	*Female*	*Male*	*Female*	*Male*	*Female*	*Male*	*Female*		
Saudi Arabia	33,107	44,681	33,953	36,877	34,010	34,542	38,395	59,569	39,381	41,455	80,836	1
Seychelles	620	2	173	1	177	1	288	7	295	20	315	18
Singapore	210	816	157	885	189	889	212	772	398	864	1,262	14
South Korea	3,865	128	5,143	118	7,303	103	5,554	76	5,308	81	5,389	6
UAE	23,190	16,413	24,933	17,377	23,762	15,558	24,229	14,068	29,294	19,192	48,486	3
Other	423	82	421	41	444	93	265	16	238	24	262	19
Total	**119,381**	**127,745**	**136,850**	**130,657**	**136,307**	**126,654**	**144,135**	**138,312**	**175,047**	**118,058**	**293,105**	

Source: Prepared by the authors from SLBFE data.

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Some claim that remittances have no impact on growth (Chami et al., 2005; Ekanayake & Halkides, 2008; Spatafora, 2005), while others argue that it depends on many factors and differs from country to country. Research conducted by the International Monetary Fund (Chami et al., 2005) has concluded that remittances can help to improve a country's development prospects, maintain macroeconomic stability, mitigate the impact of adverse shocks and reduce poverty. Research consistently shows that women tend to remit on a more regular basis and send a higher proportion of their earnings than men (United Nations, 2013: 15). In general, it is believed that remittances help a developing country's economic growth and development by offsetting trade deficits, building up foreign exchange reserves and increasing disposable income. Furthermore, having access to credit can help increase investment opportunities for people in areas of developing countries that previously produced little. Figure 4 below indicates the significant rise in total private remittances received since the late 1990s in Sri Lanka.

When we consider the whole Asia-Pacific region, the largest three recipients, India, China and the Philippines, received US$163 billion or almost 40 per cent of the US$435 billion in remittances received by developing countries in 2014 (United Nations, 2016: 83). Table 5 below shows the extent of remittances in South Asia and China, clearly the world's two largest recipients of remittances. However, when we consider the remittance share of their respective GDP, China's is only 1 per cent and India's is 3 per cent. Notably, in the case of Nepal, the remittance share of GDP is given as 31 per cent (see also Maycock, 2017: 179–80), while for Sri Lanka and Bangladesh, it is about 10 per cent and for Pakistan around 8 per cent. Therefore, we observe

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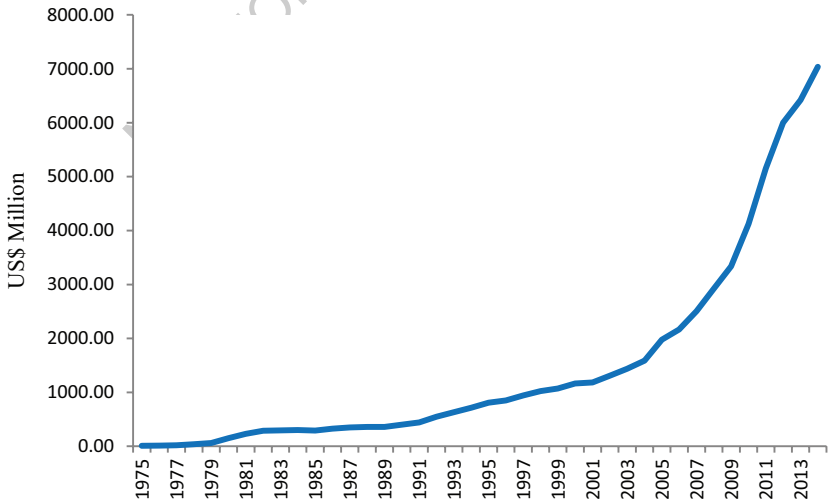
Figure 4 **Total Private Remittances Received (current US$ million)**



Source: Created by the authors using World Bank (2011, 2016) online data on WDI.

Table 5 **Remittances in South Asia and China, 2012–4**

Country	*Remittance in millions of US dollars*			*Remittance share of GDP, 2014*
	2012	*2013*	*2014*	
India	68,821	69,970	70,389	3
Sri Lanka	6,000	6,422	7,036	10
Pakistan	14,006	14,626	17,060	8
Bangladesh	14,236	13,857	14,969	10
Nepal	4,793	5,552	5,875	31
China	57,987	59,491	64,140	1

Source: Calculated by the authors, using United Nations (2016) and World Bank online data on WDI.

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that if the country size or GDP is large, even when the country is receiving higher remittances, their role is comparatively small in relation to the GDP. Conversely, if a country is small in terms of size and GDP, remittances play a larger role for the country's GDP and its economy.

Sri Lanka was among the 20 largest recipients of remittances in the Asia-Pacific region and Sriskandarajah (2002) asserts that this development paralleled the growth in political migration since 1983. Other factors, in all likelihood, were the micro-economic benefits for the worker migrants themselves and more recently the macro-economic objectives of the state.

We prepared a large table of the relevant data, which replicates many of the remittance details presented and discussed previously, now placing them in correlation with statistics about exports and the remittance shares in total exports and GDP. Table 6 below shows the overall statistics for 1975–2014 of Sri Lanka's received remittances (current US$ million), exports of goods and services (balance of payments in current US$ million), share of remittances as percentage of total exports earnings and remittances received as a percentage of GDP, respectively. Particularly, column 4 documents impressively how the percentage share of remittances witnessed a rapid jump from 0.5 per cent in 1977 to 3.8 per cent in 1980 and then 6.1 per cent in 1982. It then fell again for a few years, but has been increasing steadily from 6.1 per cent in 1993 to 8.9 per cent in 2014. Such notable increase in the remittances as a percentage of GDP in Sri Lanka matches the steady growth in the number of worker migrants moving abroad to a widening range of host countries, with indications, as noted, that this is also due to changes in government policies.

The numbers in Table 6 speak for themselves, as according to the 2014 data, Sri Lanka's migrant workers sent remittances equivalent to 42 per cent of the total export earnings of the country, while this share was just 1.35 per cent in 1975. In conjunction with Table 6, Figure 5 below depicts remittances per capita and GDP per capita in Sri Lanka over the period of 1975–2014, indicating the significant

Table 6 **Remittances, Exports and GDP, 1975–2014**

Year	*(1) Remittances received (current US$ million)*	*(2) Exports of goods and services (BoP, current US$ million)*	*(3) Share of remittances as % of total exports earnings*	*(4) Remittances, received (% of GDP)*
1975	8.56	631.9245	1.355014	0.2
1976	12.96	632.0732	2.050028	0.4
1977	18.48	855.1115	2.161464	0.5
1978	39.03	950.0982	4.108105	1.4
1979	60.07	1,134.081	5.296397	1.8
1980	151.70	1,292.732	11.73489	3.8
1981	229.56	1,341.887	17.10721	5.2
1982	289.31	1,304.434	22.17873	6.1
1983	294.48	1,359.119	21.66676	5.7
1984	300.95	1,737.79	17.3177	5.0
1985	291.65	1,561.191	18.6814	4.9
1986	325.97	1,513.799	21.53309	5.1
1987	350.06	1,722.022	20.32834	5.2
1988	357.67	1,816.267	19.69242	5.1
1989	358.01	1,850.646	19.34524	5.1
1990	400.78	2,292.676	17.4807	5.0
1991	442.09	2,549.931	17.33749	5.0
1992	547.81	2,922.763	18.74271	5.7
1993	632.38	3,420.05	18.49043	6.1
1994	715.19	3,962.193	18.05042	6.1
1995	808.95	4,617.138	17.52057	6.2
1996	851.58	4,860.739	17.51955	6.1
1997	942.39	5,513.967	17.09099	6.2
1998	1,023.46	5,724.562	17.87845	6.5
1999	1,072.39	5,560.502	19.28586	6.9
2000	1,165.83	6,378.262	18.27813	7.1
2001	1,184.99	6,172.34	19.19839	7.5
2002	1,309.08	5,967.45	21.93701	7.7
2003	1,437.75	6,543.89	21.97088	7.6
2004	1,589.57	7,283.84	21.82324	7.7

(Table 6 Continued)

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(Table 6 Continued)

Year	*(1) Remittances received (current US$ million)*	*(2) Exports of goods and services (BoP, current US$ million)*	*(3) Share of remittances as % of total exports earnings*	*(4) Remittances, received (% of GDP)*
2005	1,975.54	7,886.857	25.04846	8.1
2006	2,166.77	8,507.509	25.46891	7.7
2007	2,507.30	9,414.9	26.63119	7.8
2008	2,924.50	10,113	28.91822	7.2
2009	3,336.70	8,976.9	37.16985	7.9
2010	4,123.13	11,100.01	37.14528	7.3
2011	5,153.01	13,642.7	37.77119	7.9
2012	5,999.55	13,573.44	44.20067	8.8
2013	6,422.19	15,079.33	42.58933	8.6
2014	7,036.33	16,735.03	42.0455	8.9

Source: Created by the authors using World Bank (2011, 2016) online data on WDI.

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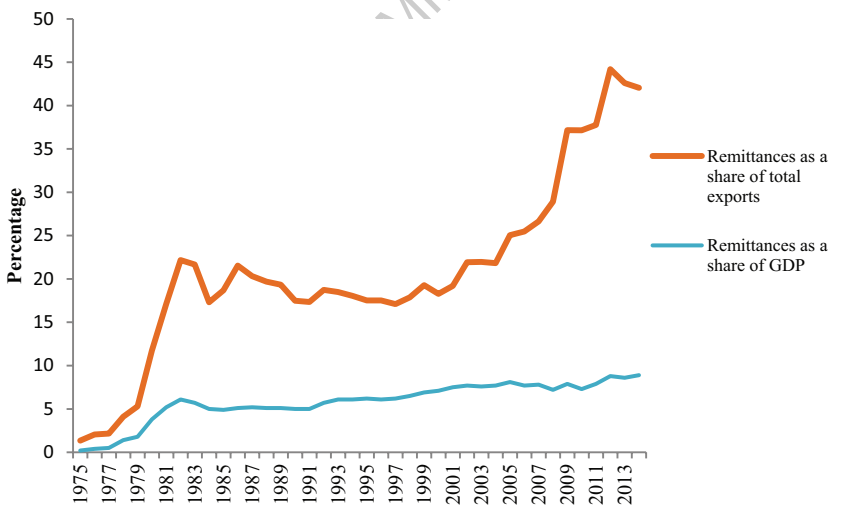
Figure 5 **Remittances, Exports and GDP, 1975–2014**



Source: Created by the Authors Using World Bank online (2011, 2016) data on WDI.

positive relationship of these two indicators in Sri Lanka. The reasons for this, when a country's economy is not actually performing so well, are that this may lead to a high level of unemployment and more people will begin to seek jobs outside their country;

hence, we see an increase in remittances. However, if the home economy grows, the financial position of the citizens improves and some people who could not afford to travel overseas earlier to find more lucrative jobs may now be able to do so. Again, this would result in the country receiving more remittances. Either way, economic growth influences remittances. Figure 5 above further illustrates this synergy.

Overall, in Sri Lanka remittances now evidently play an important role in terms of exports and share of GDP and are vital for the economic health of the country. Consistent with Siddique et al. (2012), we find that migrant workers' remittances significantly support economic development in Sri Lanka.

Conclusions and Policy Suggestions

This study has provided a historical overview of Sri Lankan migrant workers and their contributions to Sri Lanka's economic growth. It clearly documents that remittances have been playing an increasingly significant role for the country's economy in terms of exports and GDP. We indicated that the resilience of these remittance inflows is sought to be supported by recent MoU agreements with several countries that take in many skilled worker migrants. At the same time, we found a significant percentage decline of female migrant workers, particularly housemaids departing to the Middle East, but a notable increase in male skilled migrant workers. This can be considered as a progressive shift in labour migration, with significantly increased benefits for economic development in Sri Lanka. Further remittance inflow is encouraged by suggesting policies that safeguard migrant worker capacities, protect legal inflows of remittances and also focus on improvements in the conditions of the host country's labour market. Overall, as is also reflected in the conclusions of John (2018) for labour migration from Kerala, increasing government involvement in directing and supervising these processes of sending one's workers abroad would appear to have become a matter of considerable public interest, not to speak of fiscal prudence.

Regarding policy suggestions, we advise that the Sri Lankan government should encourage male skilled migration workers and increase potential benefits for them on return. Especially in countries like South Korea, Japan and Italy, but also in the construction sites of the Middle East, male migrant workers are often working with new technologies and gain important transferable skills. Even if they went overseas as unskilled or semi-skilled workers, on return to Sri Lanka, they often bring with them comprehensive knowledge of certain technologies. Taking this new phenomenon seriously will assist further economic development. The Sri Lankan government should encourage such upskilled returnees by providing them special facilities, particularly loans for starting small or medium-size enterprises after they finish their employment period abroad.

Safe surroundings for migrant workers in their respective host countries are important for migrant workers' health and safety, also regarding their living conditions. Therefore, respective Sri Lankan missions should be encouraged to take necessary steps

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to secure adequate health care for their overseas workers and any family members, including better education facilities for children. This involves keeping closer ties and positive political relationships with countries that provide working facilities for Sri Lankan migration workers.

Informal channels for sending more remittances are major issues in Sri Lanka and other developing countries. Introducing incentives to send more remittances through formal channels should be encouraged. For example, Pakistan has introduced a scheme which subsidises remittance service providers for a certain part of their marketing expenses, depending on the volumes transferred. Moreover, some countries try to facilitate cheaper and faster remittances. One of the potentially cheapest and quickest options is now money transfer using mobile phone networks. This kind of information should be shared with migrant workers to protect them against exploitative practices in the process of sending remittances. Many migrant-sending countries are worried about large return migration prompted by crises or weak job markets in destination countries (John, 2018). While such eventualities cannot be fully predicted, alert monitoring of various sociopolitical and economic trends is advisable. John (2018: 88–9) also raised the spectre of various Arabisation policies in the Middle East, and it appears that Sri Lanka is already taking steps to diversify the range of countries to which it sends its workers.

However, one important area of this scenario, requiring serious introspection and further detailed research, relates to the involvement of female migrant workers, who play such a large role in Sri Lanka. Relevant reports from the United Nations (2016) and other existing literature (Chammartin, 2004) emphasise that if mothers migrate for work, the women, their family and especially any children will potentially face diverse problems. Relevant literature mentions that children in such scenarios are suffering high depression rates, may not continue their schooling and education, and that many families are splitting up as a result of disruptions of normal family life (Opeskin & Jayasuriya, 2015; Ukwatta, 2010). We were originally minded to advise Sri Lanka, as a traditional country proud of its culture, to encourage male migrant workers instead of sending female housemaids abroad. However, on reflection, and following the advice of the anonymous peer reviewers, we accept that the image of the 'housemaid' needs to be unpacked and further scrutinised. While there is much evidence that such domestic support work is in much demand overseas, the stereotypical focus on 'housemaids' overlooks important other avenues for female employment abroad that seem to have silently developed and appear to add to the considerable attraction for Sri Lankan women of becoming foreign workers. Connecting dots for this line of enquiry appear from the highly instructive article of Percot (2006), which highlights the huge labour demands in nursing professions, including, we add here, various forms of private nursing care as an increasing feature of ageing societies all over the world. Sri Lankan women would not be pioneers in this, as post-war West Indian women, many Goan women, but also the Indian nurses that Percot (2006) writes about, have set precedents and created avenues for a variety of health-related employment

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opportunities. The training efforts for women by the Sri Lankan government that this article highlights may thus be seen in a different light. We would go one step further, in final conclusion, to advise that the gendered nature of such professions, particularly in the highly gender-segregated societies of the Gulf countries and the Middle East generally, suggests that more Sri Lankan males might find potentially lucrative positions in that sector, too, which offers huge possibilities for further employment, both privately and through government agencies. Seen from this expanded perspective, the scope for continued stable remittance flows to Sri Lanka seems even more positive than we originally thought.

Declaration of Conflicting Interests

The authors declared no potential conflicts of interest with respect to the research, authorship and/or publication of this article.

Funding

The authors received no financial support for the research, authorship and/or publication of this article.

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